

Indian IT Act 2000 and DPDP Act 2023

1. Indian Information Technology Act, 2000 (IT Act 2000)

Background & Purpose

The Information Technology Act, 2000 is an Act of the Indian Parliament enacted to give legal recognition to digital processes and provide a legal framework for electronic communication and transactions. It was notified on 17 October 2000 and is considered the primary cyber law in India.

The Act was modeled on the UNCITRAL Model Law on Electronic Commerce to support India's digital economy and e-governance initiatives.

Main Objectives

The Act was designed to:

- Provide legal recognition for electronic records and digital signatures.
- Facilitate secure electronic commerce and communications.
- Define and penalise cybercrimes such as hacking, data theft, cyberterrorism, etc.
- Support e-governance and online services, making electronic dealings legally valid.

Key Features & Provisions

Legal Recognition

- Electronic records, messages, and signatures have legal validity, similar to paper-based documents.

Digital Signatures

- Digital signatures are recognized as reliable methods for authentication and integrity of electronic transactions. A Controller of Certifying Authorities (CCA) oversees issuance of digital certificates.

Cybercrimes & Penalties

The Act defines various cyber offences, including:

- Hacking, unauthorized access, and damage to computer systems.
- Identity theft, fraud, and impersonation.
- Transmission of obscene material online. Penalties range from fines to imprisonment based on the offence.

Intermediary Liability

- It outlines how intermediaries like social media platforms and internet service providers should respond to unlawful content, including takedown obligations.

Judicial Impact

- One major case under the IT Act was *Shreya Singhal v. Union of India*, where the Supreme Court struck down Section 66A (criminalizing offensive online speech) as unconstitutional, reinforcing freedom of speech online.

Amendments & Evolution

- The Act was significantly amended in 2008 to address emerging cyber issues and strengthened digital authentication systems. Over the years, subordinate rules like the Intermediary Guidelines & Digital Media Ethics Code Rules 2021 have expanded regulatory control over online platforms.

Significance

- The IT Act 2000 remains the backbone of Indian cyber law, governing digital commerce, defining online offences, and enabling legal authentication of electronic records foundational for the development of India's digital economy.

2. Digital Personal Data Protection Act, 2023 (DPDP Act)

Background & Enactment

The Digital Personal Data Protection Act, 2023 - commonly called the DPDP Act - is a modern Indian law aimed at protecting digital personal data. It received Presidential assent on 11 August 2023 and represents the first dedicated legislative framework in India for personal data protection.

It replaces the limited data protection framework previously in Section 43A of the IT Act and associated SPDI Rules.

Purpose & Scope

The Act aims to strike a balance between:

- An individual's right to protect their personal data
- And the need to lawfully process such data for services and operations.

It applies to digital personal data whether collected in digital form or digitised later and includes processing inside and outside India if connected to offering goods or services to people in India.

Key Concepts

Roles Defined

- Data Principal - the individual whose personal data is processed.
- Data Fiduciary - entities that collect or process personal data.
- Consent Manager - a person authorised by the data principal to manage their data rights.

Core Rights for Individuals

The DPDP Act gives data principals several rights, including:

- Right to access personal data
- Right to Correction & Erasure
- Right to revoke consent and Right to grievance redressal
- Protections for minors' data (e.g., no targeted advertising on children's data)

Obligations on Data Fiduciaries

Data fiduciaries must:

- Ensure consent is obtained before processing data
- Provide clear information about data collection
- Handle personal data responsibly as per the Act
- Implement security practices to protect data integrity and privacy Establishment of the Data Protection Board

The Act establishes a Data Protection Board of India, an adjudicatory body with the power to:

- Investigate alleged non-compliance
- Impose penalties and adjudicate disputes

This board serves as the authority to enforce compliance and resolve conflicts between individuals and organizations over data protection issues.

Penalties & Enforcement

Violations of the DPDP Act can result in significant financial penalties - in some cases reaching up to ₹250 crore - depending on the severity and nature of the offence.

Rules & Operationalisation

The government has also notified Digital Personal Data Protection Rules, 2025, which detail operational aspects such as:

- Breach reporting
- Cross-border data transfer procedures
- Implementation of consent mechanisms
- Annual audits and compliance procedures

These rules are critical for putting the principles of the Act into practice.

Comparison with GDPR & Other Frameworks

While the DPDP Act is inspired by global data privacy standards like the EU's GDPR, key differences include:

- Focus on digital personal data only
- More consent-centric approach
- Does not differentiate between sensitive and non-sensitive data as strictly as GDPR

Significance

The DPDP Act represents India's major step toward modern data governance, acknowledging privacy as a critical right and defining structured legal expectations for how data should be collected, used, and protected in the digital age

3. How the Two Laws Relate

- The IT Act, 2000 laid the foundation for cyber law in India, covering electronic transactions and cybercrime.
- The DPDP Act, 2023 builds on and surpasses earlier limited data protection provisions of the IT Act by establishing a dedicated personal data privacy regime.

Together, they form the core of India's legal framework governing digital conduct, cyber safety, and data privacy in the modern era.